

NVIDIA Corporation

Solid Results/Guide on Continued Strong AI Demand Pull And Hopper Ramp - Implemented Fix For Blackwell Yield Challenges And Production Ramp Begins In F4Q

NVIDIA reported Jul results (revenue/GMs/EPS) above consensus estimates and slightly lower than market expectations (in our view), and off of a higher Jul-Qtr revenue base, the team guided to a 8% Q/Q increase in the Oct-Qtr, above consensus (again a bit lower than market expectations) on continued strong spending from its customers to support their AI/accelerated compute initiatives (both training/inference) and the strong demand pull for its Hopper H100 and new H200 GPU platforms. Indeed, the team expects a stronger 2H for Hopper with Q/Q shipment growth in 3Q, and potentially higher Q/Q again in 4Q depending on supply unlock for its next-gen Blackwell shipments. On the next-gen Blackwell platform, the team has implemented a mask change to the Blackwell GPU (two-die original version using CoWoS-L) which has remedied the manufacturing/yield challenges and the team remains committed to shipping its original line-up of products (B100, B200, GB200). The team will enter production ramp in the Jan-Qtr (we believe about a 2 month delay from original schedule due to the mask fix) and should drive several billion dollars of revenue in the Jan-Qtr. Demand for Blackwell is very strong and will outstrip supply at least through the middle of CY25, in our view. While Blackwell shipments are pushed out as we expected by about 2 months, we do not believe this has any impact to the overall CY24/CY25 revenue profile as that void has been back-filled with Hopper shipment upside given the strong AI demand environment. China sales we estimate were 8-10% of datacenter revenues in the July-Qtr and was a strong contributor but continues to be below its peak levels of 25%. On networking, the team is driving ~\$15B in annualized revenue run-rate and the team still has the Quantum X800 product cycle ahead. Software is also gaining strong traction led by Nvidia AI enterprise and is expected to approach \$2B in annual run-rate exiting this year. The negative surprise was the lower GM profile exiting the year as full year GM guidance of mid-70s implies GM deceleration to low-70s exiting the year (we estimate 73%), we believe driven by higher ramp up costs/lower production yields of new Blackwell solutions. We expect gross margins to improve throughout next year on improving yields and better cost absorption. Bottom line, the team continues to maintain a 1- 2 step lead ahead of competitors with its silicon/hardware/software platforms, and a strong ecosystem (4M CUDA software developers) and the team is further distancing itself with its aggressive cadence of new product launches and more product segmentation over time. We increase our forward estimates and establish our Dec-25 PT of \$155 (from our prior PT of \$115), and reiterate our OW rating.

Overweight

NVDA, NVDA US
Price (28 Aug 24):\$125.61

▲ **Price Target (Dec-25):\$155.00**
Prior (Dec-24):\$115.00

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Key Changes (FYE Jan)

	Prev	Cur
Adj. EPS - 25E (\$)	26.45	2.81

Quarterly Forecasts (FYE Jan)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.11	0.61A	0.88
Q2	0.27	0.68A	0.95
Q3	0.40	0.72	1.05
Q4	0.52	0.79	1.14
FY	1.30	2.81	4.02

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	87	83	89	75	78
Growth	6	24	81	80	76
Momentum	4	9	2	11	69
Quality	2	3	7	5	4
Low Vol	61	54	62	41	74
ESGQ	2	21	20	8	3

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	153.6%	11.1%	10.3%	168.2%
Rel	136.4%	8.7%	4.9%	142.1%

Company Data

Shares O/S (mn)	24,990
52-week range (\$)	140.76-39.23
Market cap (\$ mn)	3,138,994.00
Exchange rate	1.00
Free float(%)	96.1%
3M - Avg daily vol (mn)	359.86
3M - Avg daily val (\$ mn)	42,808.9
Volatility (90 Day)	60
Index	S&P 500
BBG BUY HOLD SELL	66 8 0

Key Metrics (FYE Jan)

\$ in millions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	60,922	125,219	182,609
Adj. EBIT	33,069	77,625	113,990
Adj. EBITDA	33,493	78,049	114,414
Adj. net income	32,312	69,999	100,465
Adj. EPS	1.30	2.81	4.02
BBG EPS	2.72	3.80	-
Cashflow from operations	28,091	54,148	87,013
FCFF	27,023	52,152	85,713
Margins and Growth			
Revenue Growth Y/Y (%)	125.9%	105.5%	45.8%
EBIT margin	54.3%	62.0%	62.4%
EBIT growth	464.5%	134.7%	46.8%
EBITDA margin	55.0%	62.3%	62.7%
EBITDA Growth Y/Y (%)	433.2%	133.0%	46.6%
Net margin	53.0%	55.9%	55.0%
Adj. EPS growth	288.4%	116.9%	43.0%
Ratios			
Adj. tax rate	12.1%	15.5%	17.0%
Interest cover	-	-	-
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	99.3%	103.4%	71.2%
Valuation			
FCFF yield	0.9%	1.7%	2.7%
Dividend yield	0.5%	0.5%	0.5%
EV/Revenue	51.3	24.7	16.5
EV/EBITDA	93.2	39.6	26.3
Adj. P/E	96.9	44.7	31.2

Summary Investment Thesis and Valuation

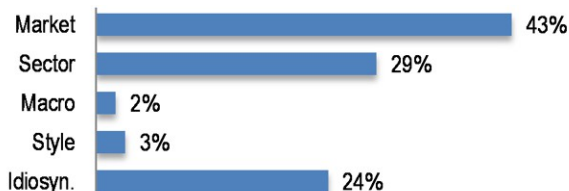
Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

Valuation

Our Dec-25 PT assumes that NVIDIA trades at a 35x multiple applied to ~\$4.40 of annualized earnings power in 2H of CY25E. Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.73	0.65
Sect: Technology	0.66	0.71
Ind: Semicond & S Equip	0.93	0.89
Macro:		
US Dollar	0.19	0.33
Crude Oil	-0.13	-0.19
Non-Energy Commodity	-0.14	-0.19
Quant Styles:		
Momentum	0.55	0.52
DivYld	-0.47	-0.50
Value	-0.36	-0.38

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Strong F2Q25 (Jul-Qtr) results led by continued strong AI demand pull and ramp of H200 platform.** NVIDIA reported F2Q25 revenue of \$30.0B (up 15% Q/Q), above consensus (\$28.9B) led by the continued strong demand pull for its Datacenter solutions. Datacenter revenue grew 16% Q/Q on strong demand pull for Hopper solution and its new H200 platform ramp (DataCenter Compute up 17% Q/Q) and networking products (up 16% Q/Q). Gaming revenues were up 9% Q/Q on seasonal strength. Pro Vis grew 5% Q/Q. Auto was up 5% Q/Q on continued ramp of its intelligent cockpit compute solutions and autonomous platforms. GM of 75.7% was above consensus (75.5%) on product mix. EPS of \$0.68 was above consensus. We estimate that China datacenter revenues were about 8-10% of the datacenter mix in the July-Qtr.
- **F3Q25 (Oct-Qtr) guidance above consensus on continued strong datacenter demand.** Oct-Q revenue guidance of \$32.5B (up 8% Q/Q), above consensus (\$31.9B) on continued strong Datacenter demand given the strong demand pull from Generative AI/LLMs and the continued ramp of the team's new H200 platforms. At the midpoint, in F3Q25, the team sees Q/Q growth led by strong Q/Q datacenter growth. GM is expected to be 75%. OpEx is guided to \$3.0B. Implied EPS is \$0.72, slightly above consensus of \$0.71.
- **Datacenter revenue continues to accelerate in CY24 and should continue into CY25; Blackwell production ramps begin in F4Q...and the team remains supply constrained on Blackwell at least through the middle of next year, in our view.** Demand was strong for AI inference and training and the customer profile appears to be positively broadening to sovereign government. On Blackwell, the team will enter production ramp in the Jan-Qtr and should drive several billion dollars of revenue in the Jan-Qtr. Demand for Blackwell is very strong and will outstrip supply at least through the middle of CY25, in our view. While Blackwell shipments are pushed out as we expected, we do not believe this has any impact to the overall CY24/CY25 revenue profile as that void has been back-filled with Hopper shipment upside given the strong AI demand environment.
- **Increasing forward estimates and increasing our PT to \$155.** We increase our forward estimates and initiate our CY25 estimates. We establish our Dec-25 PT of \$155 (from our prior Dec-24 PT of \$115). We remain Overweight NVDA. Our PT assumes that NVIDIA trades at a 35x multiple applied to ~\$4.40 of annualized earnings power in 2H of CY25E.

Table 1: NVIDIA F2Q25 (Jul-Qtr) Earnings and F3Q25 (Oct-Qtr) Outlook

\$ in millions, except per share data

	F2Q25 (Jul-Q)				F3Q25E (Oct-Q)	
	Actual	JPM Est	Diff	Consensus	Guidance	Consensus
Revenue (\$M)	\$30,040	\$28,335	\$1,705	\$28,857	\$32,500	\$31,845
Q/Q Change	15.3%	8.8%	6.5%			
Gross Margin (excl SBC)	75.7%	75.5%	0.2%	75.5%	75.0%	75.0%
Op Margin (excl SBC)	66.0%	65.1%	0.9%			
Proforma EPS (excl SBC)	\$0.68	\$0.63	\$0.05	\$0.65	\$0.72	\$0.71

Source: Company reports and J.P. Morgan estimates

Table 2: Reporting Segment Summary for F2Q25 (vs. F1Q25)

\$ in millions

	F1Q25	F2Q25	Q/Q	Y/Y	% of Revs
Graphic	\$3,369	\$3,594	7%	16%	12%
Compute & Networking	\$22,675	\$26,446	17%	154%	88%
Total	\$26,044	\$ 30,040	15%	122%	

Source: Company reports

Table 3: End Market Segment Summary for F2Q25 (vs. F1Q25)

\$ in millions

	F1Q25	F2Q25	Q/Q	Y/Y	% of Revs
PC OEM	\$78	\$88	13%	33%	0%
PC Gaming	\$2,647	\$2,880	9%	16%	10%
Pro Vis	\$427	\$454	6%	20%	2%
Datacenter	\$22,563	\$26,272	16%	154%	87%
Automotive	\$329	\$346	5%	37%	1%
Total	\$26,044	\$30,040	15%	122%	

Source: Company reports

Balance Sheet and Cash Flow

During the Jul-Qtr, the company generated cash flow from operations of \$14.5B (vs. \$15.3B in the Apr-Qtr) and exited the quarter with \$34.8B in cash, cash equivalents, and marketable securities (vs. \$31.4B in the Apr-Qtr). Inventory increased to \$6.7B in the Jul-Qtr. In F2Q25, NVIDIA returned \$246 million in cash dividend and repurchased \$7.1B in shares.

Appendix I: Comp and Group Valuation

Table 4: Semiconductor Comp and Group Valuation Table

JPM Rating	Market Cap	8/28/24 Price	Non-GAAP EPS C24E	P/E C24E	Revenues C24E	P/S C24E	Consensus Non-GAAP EPS		Consensus Sales		Consensus P/E		Consensus P/S	
							C24E	C25E	C24E	C25E	C24E	C25E	C24E	C25E
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PC Semiconductors														
INTC	UW	\$83,676	\$19.61	\$0.29	\$52,075	1.6	\$0.25	\$1.08	\$52,312	\$56,498	78.1	18.2	1.6	1.5
NVDA	OW	\$3,121,157	\$125.61	\$2.81	\$125,219	24.9	\$2.70	\$3.72	\$119,120	\$165,163	46.4	33.8	26.2	18.9
AMD	N	\$239,591	\$146.36	\$3.41	\$25,732	9.3	\$3.39	\$5.42	\$25,605	\$32,808	43.1	27.0	9.4	7.3
Memory														
MIU	UW	\$106,528	\$94.86	\$3.88	\$28,864	3.7	\$4.39	\$11.71	\$29,969	\$42,558	21.6	8.1	3.6	2.5
WDC	NR	\$21,788	\$62.43	\$1.30	\$15,582	1.4	\$5.82	\$9.12	\$15,712	\$18,292	10.7	6.8	1.4	1.2
Enterprise/Networking/Datacenter Semiconductors														
MRVL	OW	\$59,201	\$68.44	\$1.60	\$5,706	10.4	\$1.38	\$2.34	\$5,343	\$7,023	49.4	29.3	11.1	8.4
AVGO	OW	\$759,264	\$158.18	\$5.18	\$54,366	14.0	\$5.04	\$6.33	\$53,385	\$61,599	31.4	25.0	14.2	12.3
ALAB	OW	\$6,772	\$43.52	\$0.57	\$350	19.4	\$0.38	\$0.64	\$332	\$493	113.6	67.9	20.4	13.7
Mobile Devices														
SWKS	N	\$17,226	\$106.73	\$5.99	\$4,063	4.2	\$5.98	\$6.72	\$4,068	\$4,344	17.8	15.9	4.2	4.0
QRVO	UW	\$10,834	\$112.26	\$6.13	\$3,905	2.8	\$6.05	\$7.62	\$3,910	\$4,177	18.6	14.7	2.8	2.6
IoT														
SLAB	OW	\$3,666	\$114.11	N/A	\$609	6.0	(\$1.60)	\$2.53	\$603	\$900	(71.3)	45.1	6.1	4.1
SYNA	OW	\$3,112	\$77.99	\$2.75	\$997	3.1	\$2.76	\$4.74	\$1,005	\$1,180	28.3	16.5	3.1	2.6
Analog/Microcontrollers														
TXN	OW	\$190,913	\$207.74	\$5.26	\$15,909	12.0	\$5.22	\$6.45	\$15,767	\$18,073	39.8	32.2	12.1	10.6
ADI	OW	\$113,311	\$227.17	\$6.11	\$9,178	12.3	\$6.26	\$7.95	\$9,291	\$10,683	36.3	28.6	12.2	10.6
NXPI	N	\$63,884	\$246.91	\$13.52	\$12,903	5.0	\$13.49	\$15.34	\$12,920	\$13,999	18.3	16.1	4.9	4.6
MXCP	OW	\$43,098	\$79.40	\$1.96	\$4,890	8.8	\$2.02	\$3.02	\$4,920	\$5,790	39.3	26.3	8.8	7.4
Diversified/Consumer/Standard Components/Other														
ON	N	\$32,330	\$74.63	\$4.02	\$7,135	4.5	\$4.02	\$4.81	\$7,145	\$7,790	18.6	15.5	4.5	4.2
MTSI	N	\$7,828	\$105.48	\$2.72	\$775	10.1	\$2.73	\$3.57	\$775	\$893	38.6	29.6	10.1	8.8
Foundries														
GFS	N	\$25,260	\$45.35	\$1.42	\$6,777	3.7	\$1.32	\$1.74	\$6,712	\$7,623	34.4	26.1	3.8	3.3
OSAT														
AMKR	OW	\$8,088	\$32.63	\$1.56	\$6,496	1.2	\$1.57	\$2.31	\$6,508	\$7,191	20.8	14.1	1.2	1.1
Semiconductor Capital Equipment														
AMAT	OW	\$160,677	\$192.89	\$8.67	\$27,619	5.8	\$8.63	\$10.03	\$27,445	\$30,942	22.4	19.2	5.9	5.2
LRGX	OW	\$105,560	\$805.11	\$32.47	\$15,965	6.6	\$32.48	\$41.63	\$15,964	\$19,174	24.8	19.3	6.6	5.5
KLAC	OW	\$108,852	\$804.27	\$26.32	\$10,534	10.3	\$26.28	\$31.89	\$10,538	\$12,156	30.6	25.2	10.3	9.0
Chip Design Automation Software														
ARM	OW	\$132,839	\$125.32	\$1.34	\$3,617	36.7	\$1.35	\$2.06	\$3,623	\$4,851	92.7	60.9	36.7	27.4
CDNS	N	\$71,960	\$263.09	\$5.87	\$4,630	15.5	\$5.88	\$6.91	\$4,624	\$5,260	44.8	38.1	15.6	13.7
SNPS	OW	\$79,624	\$509.98	\$13.13	\$6,282	12.7	\$13.34	\$15.31	\$6,283	\$7,073	38.2	33.3	12.7	11.3
Large Cap Semi Average														
				38.1	10.4						40.0	25.2	10.5	8.7
Small-Mid Cap Semi Average														
				25.2	5.9						25.2	19.9	5.8	5.2
Semi Group Average (ex-outliers)														
				33.4	7.5						35.1	23.1	7.5	6.5
SOX Index														
			5,060	144	35.1			7.2			35.1	22.5	7.2	6.1
S&P500														
			5,592	239	23.4			3.0			23.4	20.3	3.0	2.8

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Prices as of market close 08/28/2024.

Source: Company reports and J.P. Morgan estimates

Table 7: NVIDIA Cash Flow Statement

\$ in millions

FY End: Jan.	Apr'21	Jul'21	Oct'21	Jan'22	Apr'22	Jul'22	Oct'22	Jan'23	Apr'23	Jul'23	Oct'23	Jan'24	Apr'24	Jul'24	Oct'24	Jan'25	Apr'25	Jul'25	Oct'25	Jan'26
	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E
Net income (GAAP)	1,912	2,374	2,464	3,003	1,618	656	680	1,414	2,043	6,188	9,243	12,285	14,881	16,599	16,832	18,632	20,716	22,658	25,157	27,242
Depreciation and amortization	281	286	298	309	334	378	406	426	384	365	372	387	410	433	106	106	106	106	106	106
Stock-based compensation	429	465	559	551	578	648	745	738	735	842	979	993	1,011	1,154	1,413	1,413	1,413	1,413	1,413	1,413
Excess tax benefits from stock comp																				
Other adjustments	(112)	18	31	(151)	851	(5)	(34)	(617)	(1,155)	(69)	3	(447)	(1,791)	(144)						
Change in working capital																				
Change in Receivables	(595)	(563)	(366)	(692)	(788)	120	(410)	1,081	(252)	(2,986)	(1,243)	(1,690)	(2,366)	(1,767)	(3,585)	(1,392)	(2,367)	(1,785)	(2,256)	(2,060)
Changes in Inventory	(159)	(123)	(118)	(374)	(560)	(725)	(563)	(706)	566	296	(457)	(503)	(577)	(803)	(5,773)	(1,702)	(1,774)	(823)	(1,086)	(1,148)
Prepaid expenses and other assets	2	16	(1,575)	(158)	(1,261)	(293)	247	(210)	(215)	(376)	254	(1,184)	(726)	714	0	0	0	0	0	0
Deposits and other assets																				
Accounts payable	70	209	15	183	255	304	(917)	(193)	11	777	461	281	(22)	823	(793)	(943)	(265)	(379)	(448)	(446)
Accrued liabilities and other liabilities	(1)	133	(62)	423	634	633	(92)	166	689	1,986	(1,722)	1,072	4,202	(888)	0	0	0	0	0	0
Cash flow from operations	1,874	2,682	1,519	3,033	1,731	1,270	392	2,249	2,911	6,348	7,333	11,499	15,345	14,489	8,200	16,114	17,829	21,191	22,886	25,107
Purchases of marketable securities	(4,470)	(4,798)	2,756		(3,932)	(3,644)	5,884		(2,801)	(2,542)	2,891		(9,303)	(5,744)						
Sales and maturities of marketable securities	3,498	2,443	(6,752)	(1,243)	6,976	5,738	(2,188)	500	2,512	2,598	(5,345)	(5,743)	4,153	4,109						
Purchases of PP&E	(298)	(183)	(221)	(273)	(361)	(433)	(530)	(509)	(248)	(289)	(278)	(253)	(369)	(977)	(325)	(325)	(325)	(325)	(325)	(325)
Acquisition, net of cash acquired	0	0	(203)	(60)	(36)	(13)	0	0	(83)	0	0	0	(39)	(279)						
Other investing Activities	(2)	5	(18)	(11)	(35)	(30)	(18)	5	(221)	(214)	(437)	(113)	(135)	(294)						
Cash flow from investments	(1,272)	(2,533)	(4,438)	(1,587)	2,612	1,618	3,148	(4)	(841)	(447)	(3,169)	(6,109)	(5,693)	(3,185)	(325)	(325)	(325)	(325)	(325)	(325)
Common stock issued under employee stock plans	126	2	149		204	1	143		246	1	156		285	0	0	0	0	0	0	0
Issue/Repurchase of common stock	(477)				(1,996)	(3,345)	(3,485)	(1,212)	0	(3,067)	(3,806)	(2,660)	(7,740)	(7,158)						
Principal payments on capital leases			(1,008)				0				0									
Debt proceeds/borrowings	0	4,985		(26)	0	0		(7)	0	(1,250)		(29)	0	(1,250)						
Excess tax benefits from stock comp		(365)	(440)	(618)		(305)	(294)	(339)		(672)	(764)	(841)		(1,637)						
Dividends paid	(99)	(100)	(100)	(100)	(100)	(100)	(100)	(98)	(99)	(99)	(99)	(99)	(98)	(246)	(246)	(246)	(246)	(246)	(246)	(246)
Other financing activities	(21)	(21)	(22)		(554)	(13)	(17)		(527)	(11)	(14)		(1,792)	(29)						
Cash flow from financing	(471)	4,501	(1,421)	(744)	(2,446)	(3,762)	(3,753)	(1,656)	(380)	(5,098)	(4,527)	(3,629)	(9,345)	(10,320)	(246)	(246)	(246)	(246)	(246)	(246)
Cash at beginning of period	847	978	5,628	1,288	1,990	3,887	3,013	2,800	3,389	5,079	5,882	5,519	7,280	7,587	8,571	16,200	31,743	49,001	69,621	91,936
Net change in cash and equivalents	131	4,650	(4,340)	702	1,897	(874)	(213)	589	1,690	803	(363)	1,761	307	984	7,629	15,543	17,258	20,620	22,315	24,536
Cash at end of period	978	5,628	1,288	1,990	3,887	3,013	2,800	3,389	5,079	5,882	5,519	7,280	7,587	8,571	16,200	31,743	49,001	69,621	91,936	116,472

Source: Company reports and J.P. Morgan estimate

Investment Thesis, Valuation and Risks

NVIDIA Corporation (*Overweight; Price Target: \$155.00*)

Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in shares, driving our Overweight rating.

Valuation

Our Dec-25 PT assumes that NVIDIA trades at a 35x multiple applied to ~\$4.40 of annualized earnings power in 2H of CY25E. Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

Risks to Rating and Price Target

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.

NVIDIA Corporation: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25A	2Q25A	3Q25E	4Q25E	
Revenue	26,974	60,922	125,219	182,609	-	Revenue	26,044A	30,040A	32,500	36,635	-
COGS	(11,618)	(16,621)	(31,499)	(46,874)	-	COGS	(5,638)A	(7,466)A	(8,320)	(10,075)	-
Gross profit	15,356	44,301	93,720	135,734	-	Gross profit	20,406A	22,574A	24,180	26,561	-
SG&A	(2,160)	(2,558)	(3,412)	(4,349)	-	SG&A	(756)A	(816)A	(898)	(942)	-
Adj. EBITDA	6,282	33,493	78,049	114,414	-	Adj. EBITDA	17,036A	18,774A	20,035	22,204	-
D&A	(424)	(424)	(424)	(424)	-	D&A	(106)A	(106)A	(106)	(106)	-
Adj. EBIT	5,858	33,069	77,625	113,990	-	Adj. EBIT	16,930A	18,668A	19,929	22,098	-
Net Interest	-	-	-	-	-	Net Interest	-	-	-	-	-
Adj. PBT	5,864	33,680	79,007	115,390	-	Adj. PBT	17,232A	19,048A	20,279	22,448	-
Tax	186	(4,059)	(12,277)	(19,616)	-	Tax	(2,398)A	(2,615)A	(3,448)	(3,816)	-
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	-
Adj. Net Income	8,365	32,312	69,999	100,465	-	Adj. Net Income	15,238A	16,952A	18,005	19,805	-
Reported EPS	0.17	1.19	2.68	3.81	-	Reported EPS	0.60A	0.67A	0.67	0.74	-
Adj. EPS	0.33	1.30	2.81	4.02	-	Adj. EPS	0.61A	0.68A	0.72	0.79	-
DPS	0.68	0.68	0.68	0.68	-	DPS	0.17A	0.17A	0.17	0.17	-
Payout ratio	390.3%	57.0%	25.4%	17.9%	-	Payout ratio	28.4%A	25.4%A	25.4%	22.9%	-
Shares outstanding	25,073	24,933	24,900	24,990	-	Shares outstanding	24,890A	24,848A	24,920	24,940	-
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	13,296	25,984	57,972	142,701	-	Gross margin	56.9%	72.7%	74.8%	74.3%	-
Accounts receivable	3,827	9,999	19,109	27,577	-	EBITDA margin	23.3%	55.0%	62.3%	62.7%	-
Inventories	5,159	5,282	14,149	18,981	-	EBIT margin	21.7%	54.3%	62.0%	62.4%	-
Other current assets	791	3,080	4,026	4,026	-	Net profit margin	31.0%	53.0%	55.9%	55.0%	-
Current assets	23,073	44,345	95,256	193,285	-	ROE	34.3%	99.3%	103.4%	71.2%	-
PP&E	3,807	3,914	5,323	6,199	-	ROA	19.6%	60.4%	74.9%	58.8%	-
LT investments	-	-	-	-	-	ROCE	16.1%	67.8%	85.4%	63.2%	-
Other non current assets	14,302	17,469	20,709	20,709	-	SG&A/Sales	8.0%	4.2%	2.7%	2.4%	-
Total assets	41,182	65,728	121,288	220,193	-	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	1,250	1,250	0	0	-	P/E (x)	376.5	96.9	44.7	31.2	-
Payables	1,193	2,699	5,416	6,953	-	P/BV (x)	142.5	72.9	33.8	16.5	-
Other short term liabilities	4,120	6,682	10,289	10,289	-	EV/EBITDA (x)	499.3	93.2	39.6	26.3	-
Current liabilities	6,563	10,631	15,705	17,242	-	Dividend Yield	0.5%	0.5%	0.5%	0.5%	-
Long-term debt	9,703	8,459	8,461	8,461	-	Sales/Assets (x)	0.6	1.1	1.3	1.1	-
Other long term liabilities	2,815	3,660	4,640	4,640	-	Interest cover (x)	-	-	-	-	-
Total liabilities	19,081	22,750	28,806	30,343	-	Operating leverage	(19426.5%)	369.1%	127.7%	102.2%	-
Shareholders' equity	22,101	42,978	92,482	189,850	-	Revenue y/y Growth	0.2%	125.9%	105.5%	45.8%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	(41.6%)	433.2%	133.0%	46.6%	-
Total liabilities & equity	41,182	65,728	121,288	220,193	-	Tax rate	3.2%	12.1%	15.5%	17.0%	-
BVPS	0.88	1.72	3.71	7.60	-	Adj. Net Income y/y Growth	(25.7%)	286.3%	116.6%	43.5%	-
y/y Growth	(16.0%)	95.6%	115.5%	104.5%	-	EPS y/y Growth	(24.9%)	288.4%	116.9%	43.0%	-
Net debt/(cash)	(2,343)	(16,275)	(49,511)	(134,240)	-	DPS y/y Growth	0.0%	0.0%	0.0%	0.0%	-
Cash flow from operating activities	5,642	28,091	54,148	87,013	-						
o/w Depreciation & amortization	424	424	424	424	-						
o/w Changes in working capital	(3,174)	(5,057)	(16,907)	(14,837)	-						
Cash flow from investing activities	7,374	(10,566)	(9,528)	(1,300)	-						
o/w Capital expenditure	(1,833)	(1,068)	(1,996)	(1,300)	-						
as % of sales	6.8%	1.8%	1.6%	0.7%	-						
Cash flow from financing activities	(11,617)	(13,634)	(20,157)	(984)	-						
o/w Dividends paid	(398)	(396)	(836)	(984)	-						
o/w Net debt issued/(repaid)	(7)	(1,279)	(1,250)	0	-						
Net change in cash	1,399	3,891	24,463	84,729	-						
Adj. Free cash flow to firm	3,809	27,023	52,152	85,713	-						
y/y Growth	(53.2%)	609.5%	93.0%	64.4%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jan. o/w - out of which

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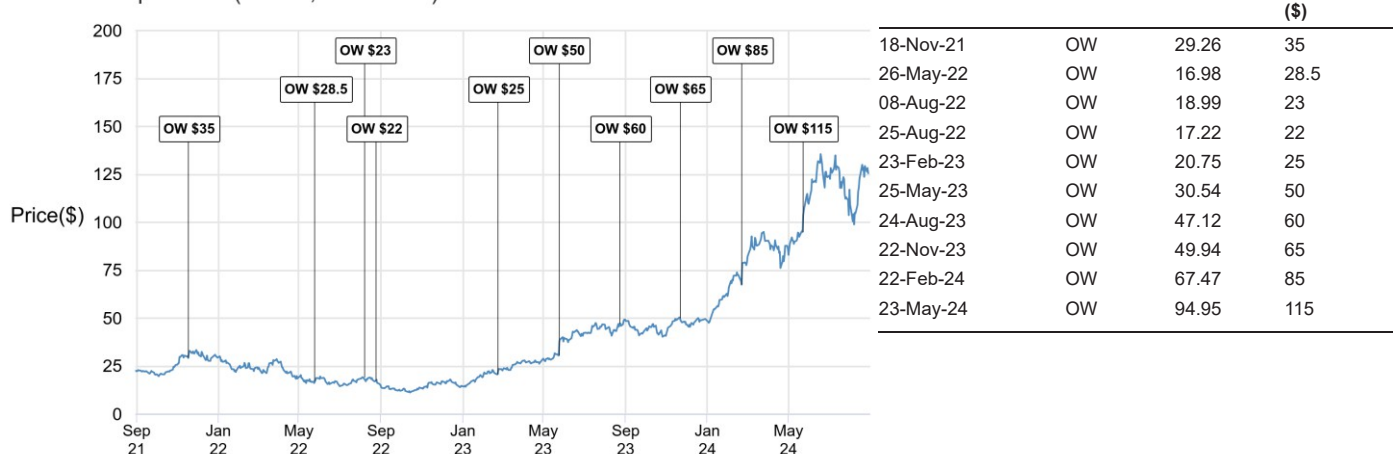
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NVIDIA Corporation (NVDA, NVDA US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

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